

ECONOMICS PAPER 1

(Mock Test 44)

Time allowed: 1 hour

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the 'Time is up' announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words '**END OF PAPER**' after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong answers can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the end of the examination session

There are 45 questions in this paper. Choose the **BEST** answer for each question.

1. Which of the following situations imply the existence of scarcity?

- (1) People have to make choices among options.
 - (2) People are unable to obtain the goods or services they want even if they are willing to pay the price.
 - (3) People have to pay a cost to obtain certain goods or services.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2. Mr. Lam is a fresh university graduate who is planning his career path after graduation. He has several options and his order of preference is shown below:

First option: to work as a customer relations officer in a bank

Second option: to study for a master's degree at a university

Third option: to create short videos full-time and upload them to an online video platform

Which of the following factors would be **LEAST** likely to affect Mr. Lam's cost-benefit analysis for his choice?

- A. The online video platform reduces the proportion of advertising revenue shared with creators.
- B. Salaries for new bank employees have generally decreased.
- C. More banks expand their customer relations departments.
- D. The teaching quality of the master's programme is poorer than Mr. Lam expected.

3. Which of the following statements is/are normative statement(s)?

- (1) Distributing consumption vouchers to tourists has greater benefits than costs for Hong Kong.
 - (2) Waiving the examination fees for all Hong Kong Diploma of Secondary Education candidates is a fair measure.
 - (3) Setting standard working hours does not help reduce income inequality.
- A. (1) only
 - B. (2) only
 - C. (1) and (2) only
 - D. (2) and (3) only

4. Some restaurants offer free drinks for customers to enjoy while waiting to be seated. These drinks are _____.

- A. free goods because people obtain them without incurring any cost
- B. economic goods if they satisfy people's wants
- C. private goods because they are rival in consumption
- D. producer goods if the restaurant can exclude non-customers from enjoying these drinks

5. With more fitness centres opening branches in various districts, a fitness equipment manufacturer has decided to reduce the production of home fitness equipment and lower its selling price at the same time.

The above decision of the fitness equipment manufacturer is related to the _____ question in economics because it is related to _____.

- (1) 'what to produce' ... the choice of the quantity of outputs
- (2) 'how to produce' ... the method of production
- (3) 'for whom to produce' ... the distribution of inputs

- A. (1) only
- B. (2) only
- C. (3) only
- D. (1) and (3) only

6. Miss Cheung is the owner of a firm. The firm is an independent legal entity and its shares cannot be freely transferred on the stock exchange. If the firm winds up,

- (1) Miss Cheung does not need to bear the legal responsibilities of the firm.
- (2) Miss Cheung's loss is confined to the amount she invested in the firm.
- (3) Miss Cheung can claim repayment of her investment in the firm prior to bondholders.

- A. (1) only
- B. (3) only
- C. (1) and (2) only
- D. (2) and (3) only

7. Which of the following may exist in a barter economy?

- (1) division of labour
- (2) private property rights
- (3) inflation

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

8. Suppose the government of Country A decides to increase the quota of its foreign talent admission scheme.

This will cause Country A's _____ and _____ to increase.

- A. labour supply ... average labour productivity
- B. labour supply ... geographical mobility of labour
- C. geographical mobility of labour ... average labour productivity
- D. occupational mobility of labour ... average labour productivity

9. The following table shows the production plan of a firm. The firm employs two factors only, namely labour and machinery.

Labour (units)	Machinery (units)	Average product (units)
5	2	9
5	3	10
5	4	12
5	5	13
5	6	X

If the above data illustrates the law of diminishing marginal returns, the value of X _____.

- A. must be smaller than 13
 - B. must be larger than 13
 - C. can be 12
 - D. can be 14
10. A Western restaurant is considering acquiring a food importer or opening a new branch in a shopping mall with many restaurants.

Based on the above information, which of the following could be (a) possible reason(s) for the restaurant choosing to acquire a food importer instead of opening a new branch?

- (1) to reduce the number of competitors in the market
 - (2) to ensure a reliable supply of inputs
 - (3) to enjoy economies of scale
- A. (2) only
 - B. (3) only
 - C. (1) and (3) only
 - D. (2) and (3) only
11. The table below shows the cost-output relationship of a price-taking firm. The fixed cost of the firm is \$5.

Output (units)	2	3	4	5	6
Average cost (\$)	4	5	6	7	8

According to the table above, when the market price increases from \$9 to \$11,

- A. the profit-maximising output will increase from 4 units to 6 units.
 - B. the profit of the firm will increase by \$8.
 - C. the total cost of the firm will increase by \$35.
 - D. the firm will suffer from diseconomies of scale.
12. A luxury brand launches a limited-edition watch. Some fans of the brand are willing to pay the listed price and spend time queuing, but they still find that the watches are sold out.

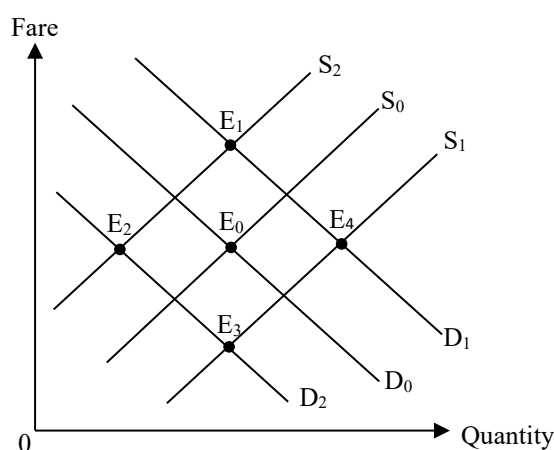
From the information above, we can infer that the quantity transacted of the watches is _____.

- A. equal to the quantity supplied and smaller than the quantity demanded
- B. equal to the quantity supplied and larger than the quantity demanded
- C. equal to the quantity demanded and smaller than the quantity supplied
- D. equal to the quantity demanded and larger than the quantity supplied

13. Country A mainly imports fruit from Country B. Suppose the government of Country B requires stronger packaging for each box of exported fruit. Which of the following statements is **CORRECT**?
- Country A's demand for fruit from Country B will decrease.
 - The proportion of high-quality fruit sold in Country A will increase.
 - Country A's total expenditure on fruit will decrease.
 - The change in the import volume of fruit depends on the price elasticity of demand.
14. The supply curve of good X is upward sloping and its demand curve is vertical.

Suppose the supply of good X increases while demand decreases, and the extent of the increase in supply is greater than the decrease in demand. As a result,

- the equilibrium price of good X will decrease, while the equilibrium quantity may increase, decrease or remain unchanged.
 - the equilibrium price of good X may increase, decrease or remain unchanged, while the equilibrium quantity will decrease.
 - both the equilibrium price and equilibrium quantity of good X will decrease.
 - both the equilibrium price and equilibrium quantity of good X will increase.
15. Refer to the following supply-demand diagram for bus services in Country A. The initial equilibrium point is E_0 .



Suppose the salaries of bus drivers generally fall, and at the same time, a new railway branch line officially opens and covers the operating area of the bus services. The new equilibrium point will be _____.

- E_1
 - E_2
 - E_3
 - E_4
16. In which of the following situations will consumers' total expenditure on good X decrease?
- Good X and good Y are in joint demand, and the price of raw materials for producing good Y increases.
 - Good X and good Y are substitutes, and the government imposes a per-unit tax on good Y.
 - The government increases the effective quota set on good X, and the demand for good X is inelastic.
- (1) and (2) only
 - (1) and (3) only
 - (2) and (3) only
 - (1), (2) and (3)

17. With the rapid development of artificial intelligence, technology companies need more electricity to operate their data centres. As a result, the price of electricity rises by 10% and the quantity transacted changes by 20%. Which of the following best explains the above change in price and quantity transacted of electricity?

- A. Electricity is difficult to replace with other goods.
- B. Electricity companies have spare production capacity.
- C. The equipment required to produce electricity is not easy to install.
- D. Electricity is a necessity for consumers.

18. Refer to the following market demand and supply schedules for good X.

Unit price (\$)	Quantity demanded (units)	Quantity supplied (units)
10	30	22
12	28	24
14	26	26
16	24	28
18	22	30
20	20	32

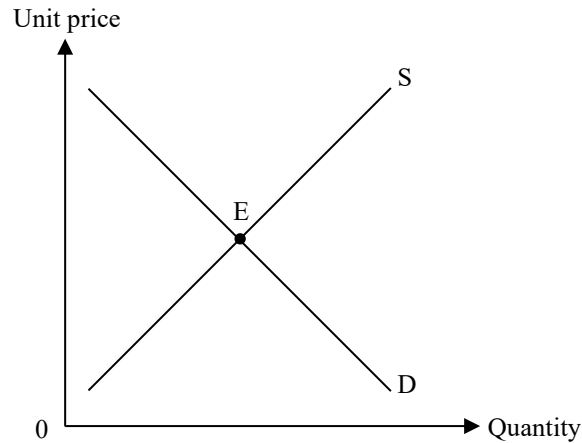
Suppose the government sets a price ceiling on good X at \$12. Which of the following statements about good X is **CORRECT**?

- A. If the government removes the price ceiling, the total revenue from good X will decrease.
- B. If the government lowers the price ceiling, the deadweight loss will decrease.
- C. If the government replaces the price ceiling with a quota of 24 units, the two measures will have equivalent effect on the price.
- D. If the government replaces the price ceiling with a per-unit tax of \$4, the two measures will have equivalent effect on the quantity transacted.

19. Which of the following statements about perfect competition is/are **CORRECT**?

- (1) Only price competition exists.
 - (2) The marginal cost of the last unit of all firms is the same when they maximise their profits.
 - (3) All firms earn the same profit.
- A. (1) only
 - B. (2) only
 - C. (1) and (2) only
 - D. (1), (2) and (3)

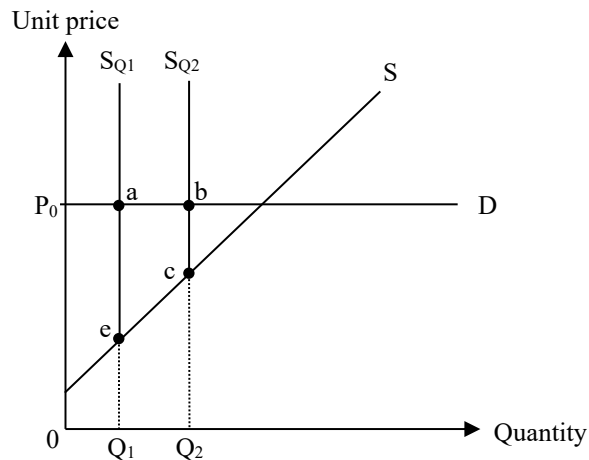
20. Refer to the following demand-supply diagram for good X. The initial equilibrium point is E.



Suppose the government provides a per-unit subsidy for good X, and at the same time, the price of a substitute for good X decreases. The marginal benefit of the last unit of good X will _____, while the total social surplus will _____.

- A. increase ... increase
- B. increase ... decrease
- C. decrease ... increase
- D. decrease ... decrease

21. Refer to the following demand-supply diagram for good X. Initially, the quota is set at Q_1 .



The government adjusts the quota of good X from Q_1 to Q_2 . Which of the following statements about good X are **CORRECT**?

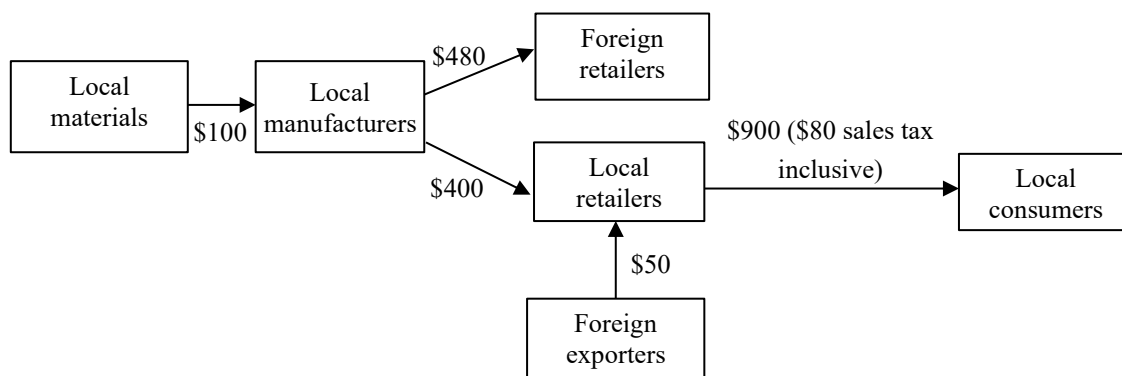
- (1) Consumer surplus increases.
 - (2) Total social surplus increases by the area abce.
 - (3) Consumers' total expenditure on good X increases by area abQ_2Q_1 .
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

22. The table below shows Country A's Gini coefficient based on post-tax post-social transfer household income.

Year	Gini coefficient
2015	0.411
2020	0.390
2025	0.372

Which of the following may explain the change in Country A's Gini coefficient over the above period?

- A. The incomes of high-income households increased by a greater extent than those of low-income households.
 - B. The tax system changed from regressive to progressive.
 - C. The proportion of total income earned by the top of 20% households increased.
 - D. The government of Country A introduced a general sales tax.
23. Which of the following may explain why income inequality among restaurant waiters tends to be smaller than that among real estate agents?
- A. The market demand for real estate agents is smaller.
 - B. The services provided by real estate agents are more heterogeneous.
 - C. Gender discrimination among restaurant waiters is more serious.
 - D. Restaurant waiters have a lower level of education.
24. The following diagram shows a production chain of garments in Country A.

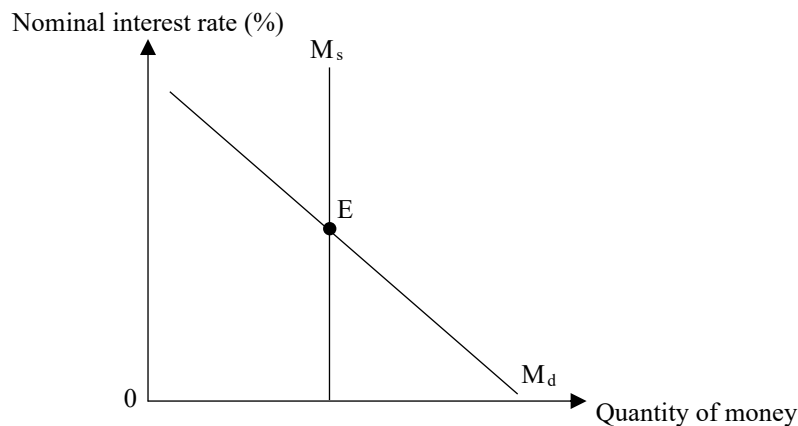


The contribution of the above production chain to Country A's GDP at factor cost is _____.

- A. \$1,150
 - B. \$1,250
 - C. \$1,350
 - D. \$1,410
25. To calculate Hong Kong's gross national income (GNI), which of the following should be deducted from Hong Kong's gross domestic product (GDP)?
- A. the rental income earned by a Hong Kong resident from an overseas property he owns
 - B. the interest received by a Hong Kong resident from holding bonds of a foreign company
 - C. the salary earned by a Mainland professor working at a university in Hong Kong for six months
 - D. the salary received by a Korean working in a company in Hong Kong for two years

26. The per capita real GDP of a country has increased, but people generally think that their standard of living has declined. Which of the following situations can best explain this phenomenon?
- There are more unreported economic activities in the country.
 - The inflation rate of the country has risen.
 - The population of the country has increased.
 - The income distribution of the country has become more uneven.

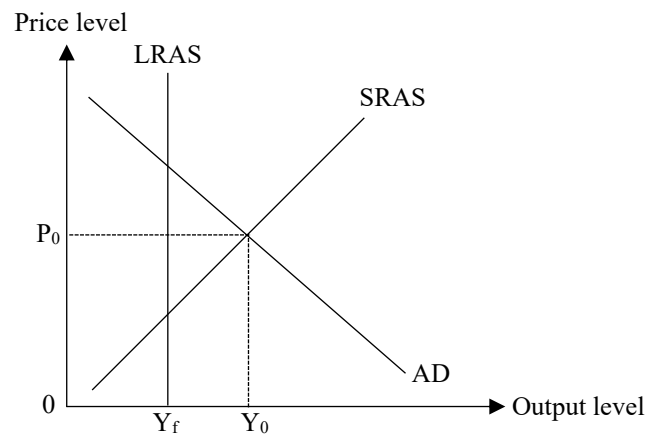
27. The diagram below shows the money supply curve (M_s) and money demand curve (M_d) of an economy. Suppose the initial equilibrium point is at E.



Suppose more overseas companies remit money to the economy's banking system and the volatility of the stock market increases. In this case, the nominal interest rate _____, and the quantity of money _____.

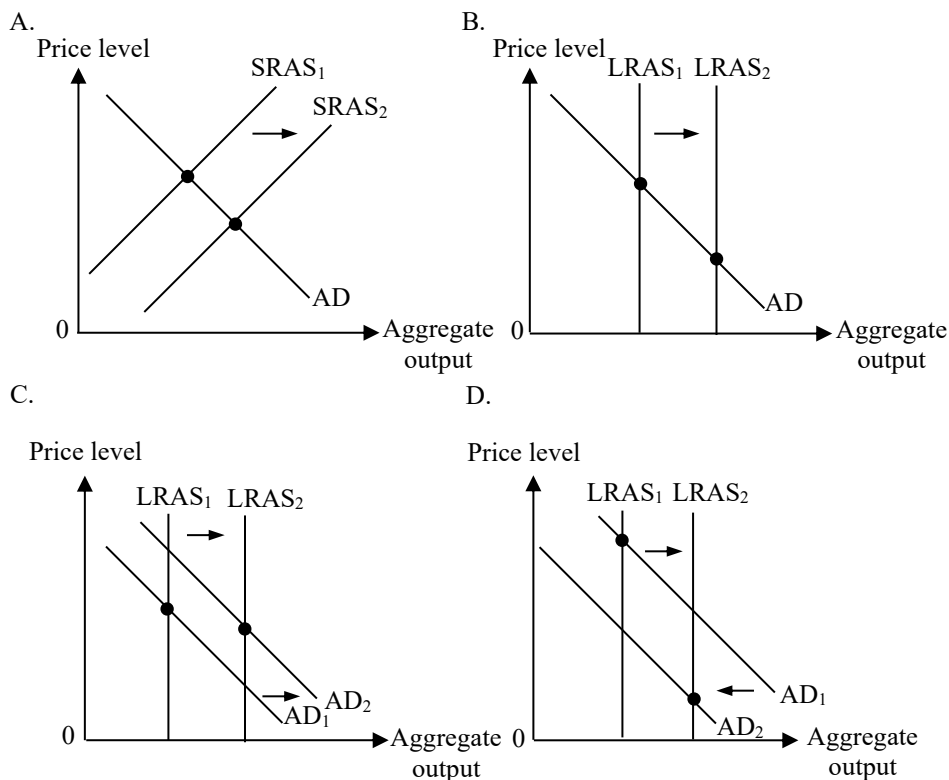
- will increase ... will increase
 - will increase ... will decrease
 - may increase, decrease or remain unchanged ... will increase
 - may increase, decrease or remain unchanged ... will decrease
28. Which of the following would be most likely to cause the price level of an economy to fall in the short run?
- The price of raw materials decreases, and a major trading partner of the economy experiences an economic recession.
 - Labour productivity increases, and the government carries out an open market purchase of government bonds.
 - People's desire to save decreases, and the economy's currency appreciates.
 - The required reserve ratio decreases, and a major natural disaster occurs that disrupts production.

29. The diagram below shows the aggregate demand curve, short run aggregate supply curve and long run aggregate supply curve for an economy.



Which of the following descriptions is **CORRECT**?

- A. In the long run, the price level will be lower than P_0 .
 - B. In the long run, the full-employment output level will rise to Y_0 .
 - C. A reduction in the profits tax rate will help restore the output level to the full-employment output level.
 - D. Through the market adjustment mechanism, the short run aggregate supply will decrease and the output level will be restored to the full-employment output level.
30. Suppose the government of Country A relaxes the restrictions on importing foreign labour to fill job vacancies in the market. Some foreign workers bring their family members to live in Country A. Which of the following diagrams best describes the effect of the above event?



31. Diamonds are better than rice in performing the _____ function of money because the former has a higher _____.

- (1) medium of exchange ... divisibility
- (2) store of value ... durability
- (3) unit of account ... homogeneity

- A. (2) only
- B. (3) only
- C. (1) and (2) only
- D. (2) and (3) only

32. Miss Tai withdraws HK\$200,000 cash from a deposit-taking company. She then uses \$50,000 cash to purchase a negotiable certificate of deposit issued by a licensed bank and remits the remaining amount overseas.

What will be the immediate effect of the above actions on the money supply of Hong Kong?

- A. Money supply M1 will remain unchanged.
- B. Money supply M1 and M2 will both remain unchanged.
- C. Money supply M3 will decrease by HK\$200,000.
- D. Money supply M2 and M3 will both decrease by HK\$150,000.

33. Refer to the following balance sheet of the banking system of an economy. The banking system has excess reserves of \$100 million.

Assets (\$ million)		Liabilities (\$ million)	
Reserves	300	Deposits	1,000
Loans	700		

Suppose someone withdraws \$50 million from the banking system and holds it as cash. If the banking system is fully loaned up and there is no cash leakage, which of the following will be its new balance sheet?

A.

Assets (\$ million)		Liabilities (\$ million)	
Reserves	250	Deposits	1,250
Loans	1,000		

B.

Assets (\$ million)		Liabilities (\$ million)	
Reserves	250	Deposits	1,000
Loans	750		

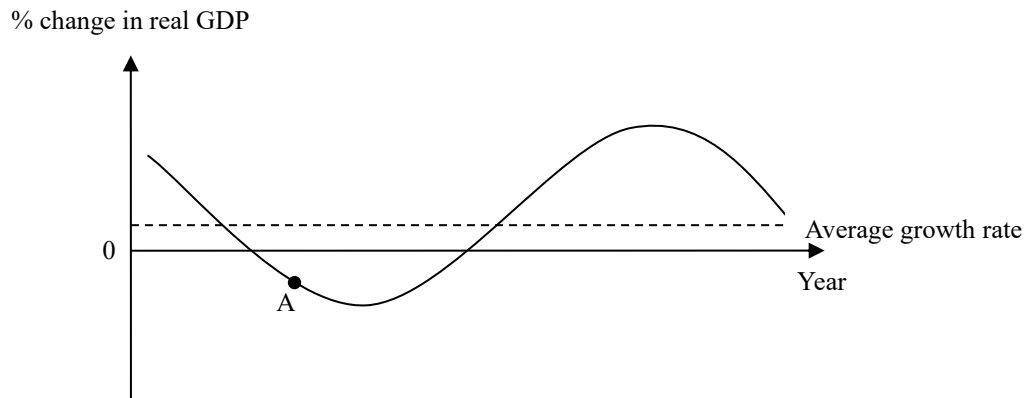
C.

Assets (\$ million)		Liabilities (\$ million)	
Reserves	250	Deposits	950
Loans	700		

D.

Assets (\$ million)		Liabilities (\$ million)	
Reserves	300	Deposits	1,500
Loans	1,200		

34. Refer to the following diagram.



When an economy is operating at point A, which of the following economic phenomena is most likely to occur?

- A. Household income increases.
- B. Sales of firms increase.
- C. The import volume decreases.
- D. Government revenue from salaries tax increases.

35. If there is unexpected inflation, which of the following persons will gain?

- A. a businessman who holds a time deposit in a bank
- B. a secondary school student who keeps red packet money at home
- C. an investor who rents out a residential unit at a fixed rent
- D. a consumer who pays a fixed monthly fee for a video streaming service

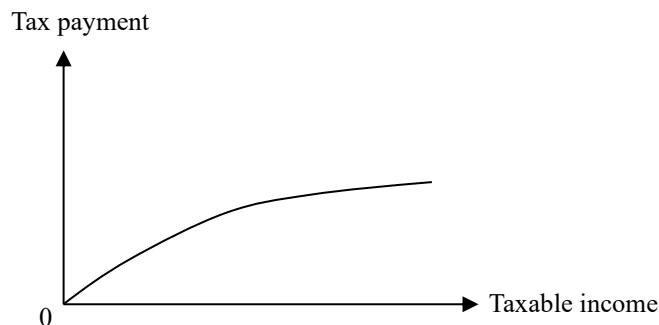
36.

Nominal interest rate	2%
Expected inflation rate	5%
Actual inflation rate	7%

Based on the above information, the cost of holding money is _____ and the actual real rate of return on holding money is _____.

- A. 2% ... -5%
- B. 2% ... -7%
- C. 7% ... -5%
- D. 7% ... -7%

37. The following diagram shows the relationship between taxable income and tax payment in a tax system.



Which of the following statements about the above tax system is/are **CORRECT**?

- (1) The tax system is in line with the equity principle of taxation put forward by Adam Smith.
- (2) The tax leads to a more uneven income distribution.
- (3) The tax allowance of the tax system is zero.

- A. (2) only
- B. (3) only
- C. (1) and (2) only
- D. (2) and (3) only

38. Suppose there are a fiscal surplus and a trade deficit in an economy. Which of the following may increase the fiscal surplus and reduce the trade deficit?

- A. The government introduces a general sales tax.
- B. The government increases the quota for importing foreign labour.
- C. Households' desire to save increases.
- D. The government imposes a tariff on imported goods.

39. Which of the following is an example of a contractionary monetary policy?

- A. a reduction in the basic allowance for the salaries tax
- B. an increase in loan interest rates by commercial banks
- C. a reduction in the discount rate
- D. an open market sale of government bonds by the central bank

40. Suppose the government lowers the required reserve ratio of the banking system. Which of the following would weaken the effect of the above policy on the price level in the short run?

- A. lowering the standard tax rate of the salaries tax
- B. lowering the profits tax rate
- C. removing tariff exemptions for imported goods
- D. tightening the criteria for receiving unemployment benefits

41. Suppose the risk of holding bonds in Country A increases. Which of the following can offset the effects of the above event on Country A's output level and nominal interest rate in the short run?

- A. The government increases the allowance for the salaries tax.
- B. The government raises the required reserve ratio.
- C. More enterprises extend the income payment interval.
- D. Electronic payment methods become more popular in the market.

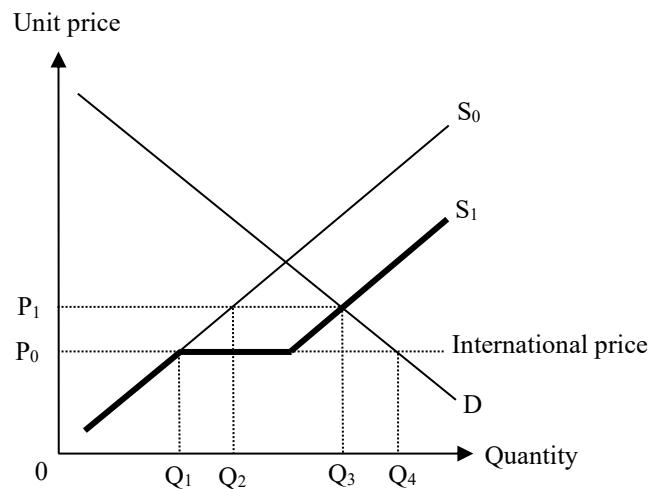
42. The following table shows the labour requirement for the production of pears and rice in Country A and Country B respectively.

	1 unit of pears	1 unit of rice
Country A	2 man-hours	3 man-hours
Country B	0.5 man-hours	1.5 man-hours

Based on the above table, which of the following statements is/are **CORRECT**?

- (1) Country A has an absolute advantage in producing pears.
 - (2) Country A has a comparative advantage in producing rice.
 - (3) 1 unit of pears = 1 unit of rice is a mutually beneficial terms of trade for the two countries.
- A. (1) only
 - B. (2) only
 - C. (1) and (2) only
 - D. (2) and (3) only

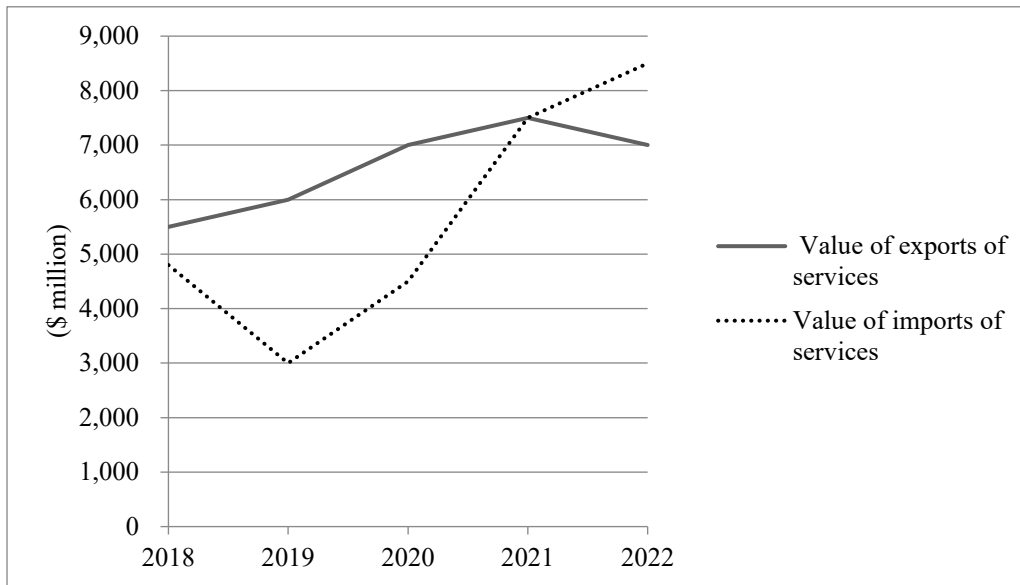
43. Below is the supply-demand diagram for good X in a small open economy. S_0 is the domestic supply curve of good X and S_1 is the supply curve after an import quota is imposed.



Suppose the international price of good X decreases. Which of the following is **CORRECT**?

- A. The domestic price of good X will decrease.
- B. The increase in import volume will be $(Q_4 - Q_3)$.
- C. The domestic production of good X will decrease.
- D. Consumers' total expenditure on good X will remain unchanged.

44. The diagram below shows trade data for economy A from 2018 to 2022.



From _____ to _____, economy A had an increase in the value of exports of services and an increase in the invisible trade surplus at the same time.

- A. 2018 ... 2019
- B. 2019 ... 2020
- C. 2020 ... 2021
- D. 2021 ... 2022

45. Under the linked exchange rate system in Hong Kong, which of the following statements is **CORRECT**?

- A. The market exchange rate of the Hong Kong dollar against the US dollar is fixed.
- B. The money supply of Hong Kong is fully backed by the US dollar.
- C. The Hong Kong Monetary Authority can exchange Hong Kong dollars for US dollars with the public at the linked exchange rate.
- D. There will be inflationary pressure in Hong Kong when the US dollar continuously depreciates against the renminbi.

END OF PAPER